

NOTE 11 – OTHER RECEIVABLES

USDm	2019	2018
Partners and commercial managements	1.9	-
Derivative financial instruments	0.5	3.7
Tax receivables	1.5	1.2
Other	2.3	2.6
Balance as of 31 December	6.2	7.5

No significant other receivables are past due or credit impaired.

The carrying amount is a reasonable approximation of fair value due to the short-term nature of the receivables. Please refer to note 21 for further information on fair value hierarchies.

NOTE 12 – TAX

USDm	2019	2018	2017
Tax for the year			
Current tax for the year	1.2	1.6	1.0
Adjustments related to previous years	-0.4	-0.1	-0.1
Adjustment of deferred tax liability	-	0.1	-0.1
Total	0.8	1.6	0.8

The majority of the Group's taxable income is located in Denmark, and therefore the majority of the tax base is subject to Danish tax legislation. As such, the Group has elected to participate in the Danish tonnage tax scheme; the participation is binding until 31 December 2025.

The Group expects to participate in the tonnage tax scheme after the binding period and, as a minimum, to maintain an investing and activity level equivalent to the time of entering the tonnage tax scheme.

Under the Danish tonnage tax scheme, income and expenses from shipping activities are not subject to direct taxation, and accordingly an effective rate reconciliation has not been provided, as it would not provide any meaningful information. Instead, the taxable income is calculated from:

- The net tonnage of the vessels used to generate the income from shipping activities
- A rate applicable to the specific net tonnage of the vessel based on a sliding scale

Due to the provisions of the Danish tonnage tax scheme, the effective tax rate of the Group is 0.5% (2018: 4.7%, 2017: 24.4 %).

NOTE 12 - continued

USDm	2019	2018	2017
Deferred tax liability			
Balance as of 1 January	44.9	44.9	45.0
Deferred tax for the year	-	0.1	-0.1
Adjustments related to previous years	-	-0.1	-
Balance as of 31 December	44.9	44.9	44.9

Essentially all deferred tax relates to vessels included in the transition account under the Danish tonnage tax scheme at the time of entering this scheme. This is to be paid only if TORM discontinues the Danish tonnage tax scheme.

The Group operates in a wide variety of jurisdictions, in some of which the tax law is subject to varying interpretations and potentially inconsistent enforcement. As a result, there can be practical uncertainties in applying tax legislation to the Group's activities. Whilst the Group considers that it operates in accordance with applicable tax law, there are potential tax exposures in respect of its operations, the impact of which cannot be reliably estimated but could be material.

NOTE 13 – COMMON SHARES AND TREASURY SHARES

Common shares	2019	2018	2017
	Number of shares	Number of shares	Number of shares
A-shares	74,748,248	74,218,846	62,298,846
B-shares	1	1	1
C-shares	1	1	1
Total	74,748,250	74,218,848	62,298,848

The A-shares are listed on Nasdaq OMX Copenhagen and Nasdaq in New York and are publicly available for trading. Each A-share carries one vote at the general meeting and gives the shareholders right to dividends, liquidation proceeds or other distributions. The A-shares carry no other rights or obligations.

The B-share has one vote at the general meeting, has no pre-emption rights in relation to any issue of new shares of other classes and carries no right to receive dividends, liquidation proceeds or other distributions from TORM. The holder of the B-share has the right to elect one member to the Board of Directors (being the Deputy Chairman), up to three alternates as well as one Board Observer. The B-share cannot be transferred or pledged, except for a transfer to a replacement trustee.